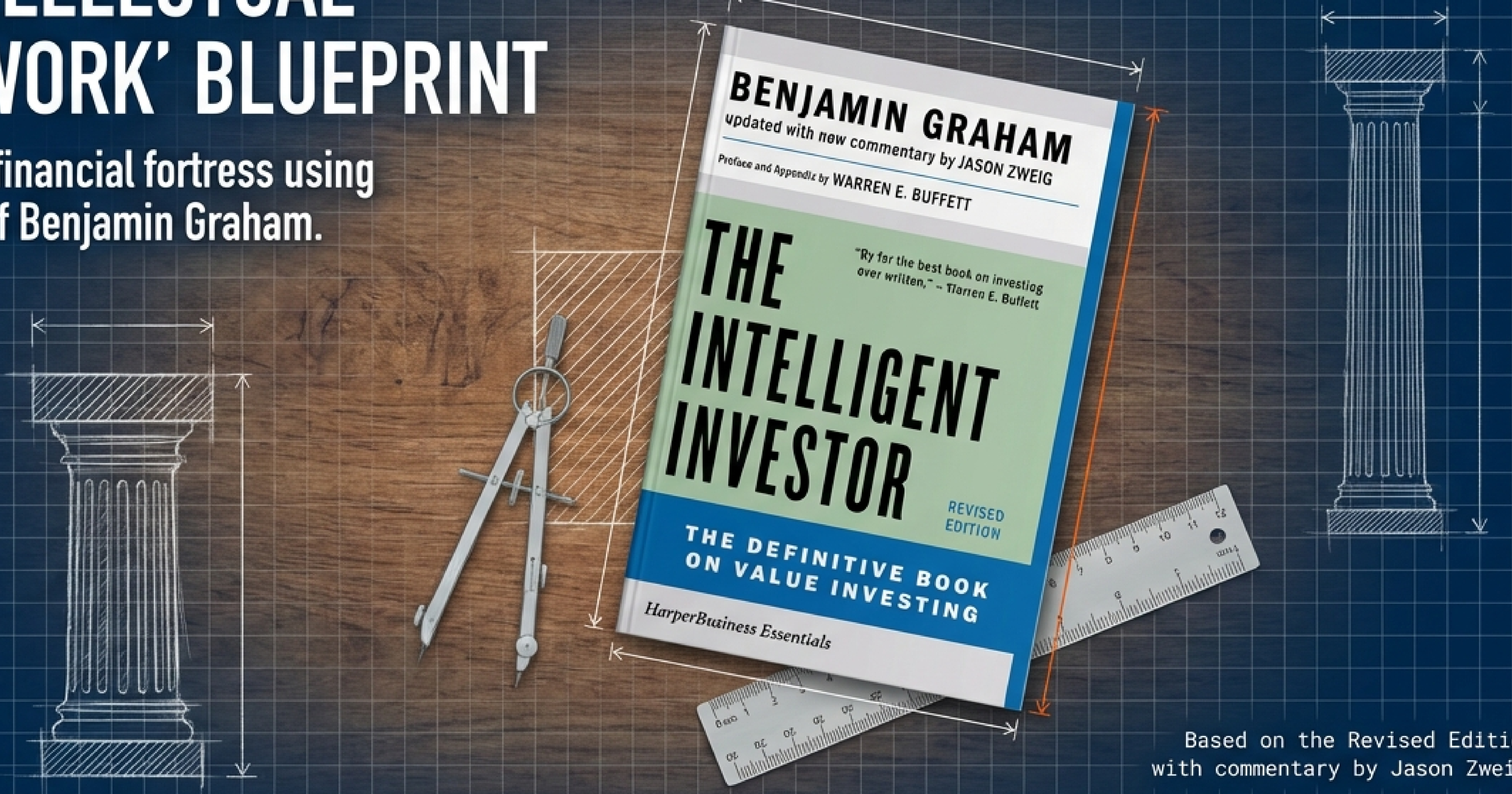
THE 'INTELLECTUAL FRAMEWORK' BLUEPRINT

Constructing a financial fortress using the principles of Benjamin Graham.



Based on the Revised Edition with commentary by Jason Zweig.

What's needed is a sound intellectual framework for making decisions. — Benjamin Graham

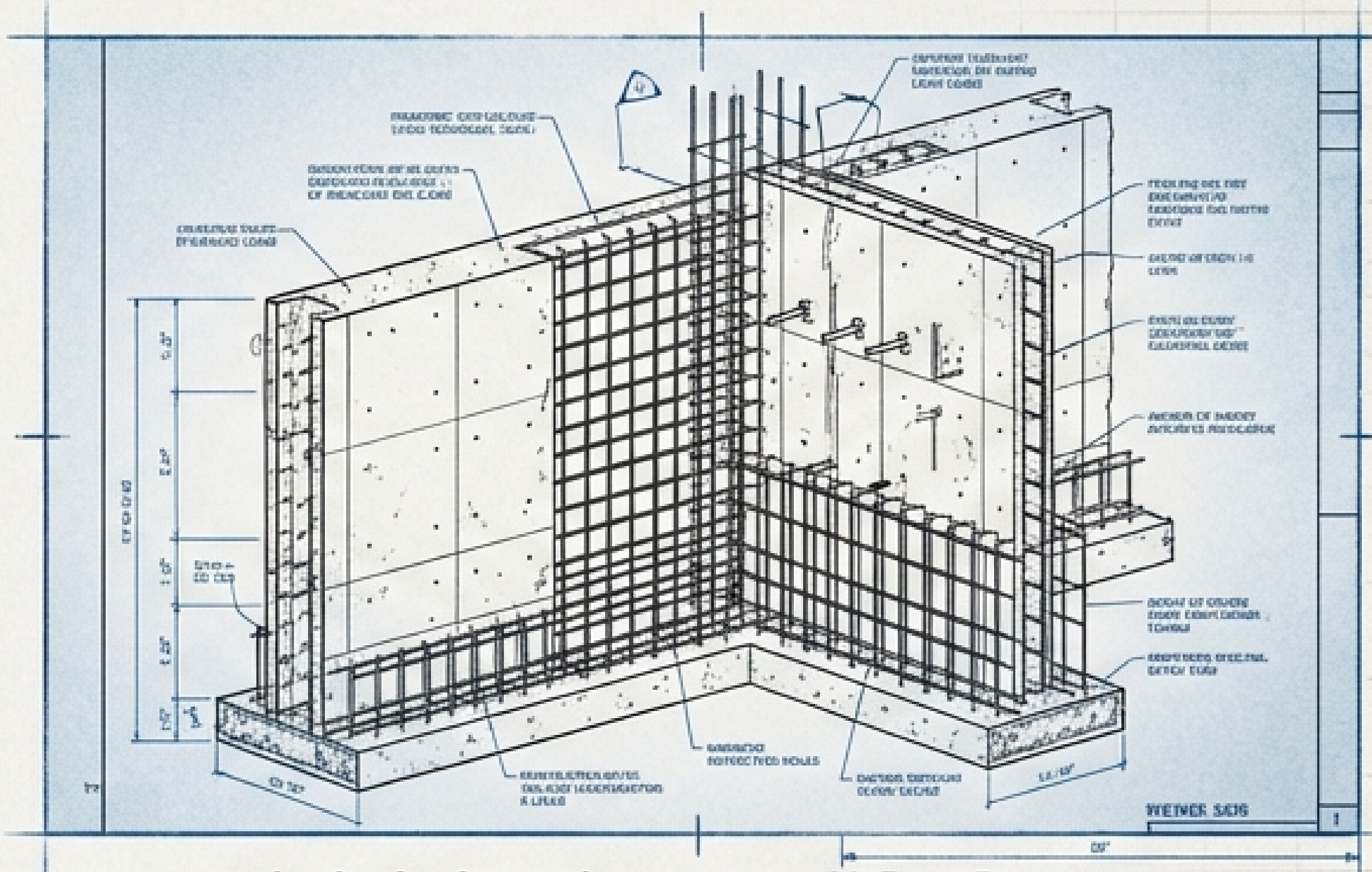
THIS IS NOT A GUIDE TO BEATING THE MARKET.

It is a guide to preventing the market from beating you.

THE MYTH: PROPHECY

Trying to predict the unpredictable.

THE REALITY: PROTECTION



Minimizing irreversible losses.

"Satisfactory results are easier than you think;
superior results are harder than you think."

INTELLIGENCE IS CHARACTER, NOT IQ.

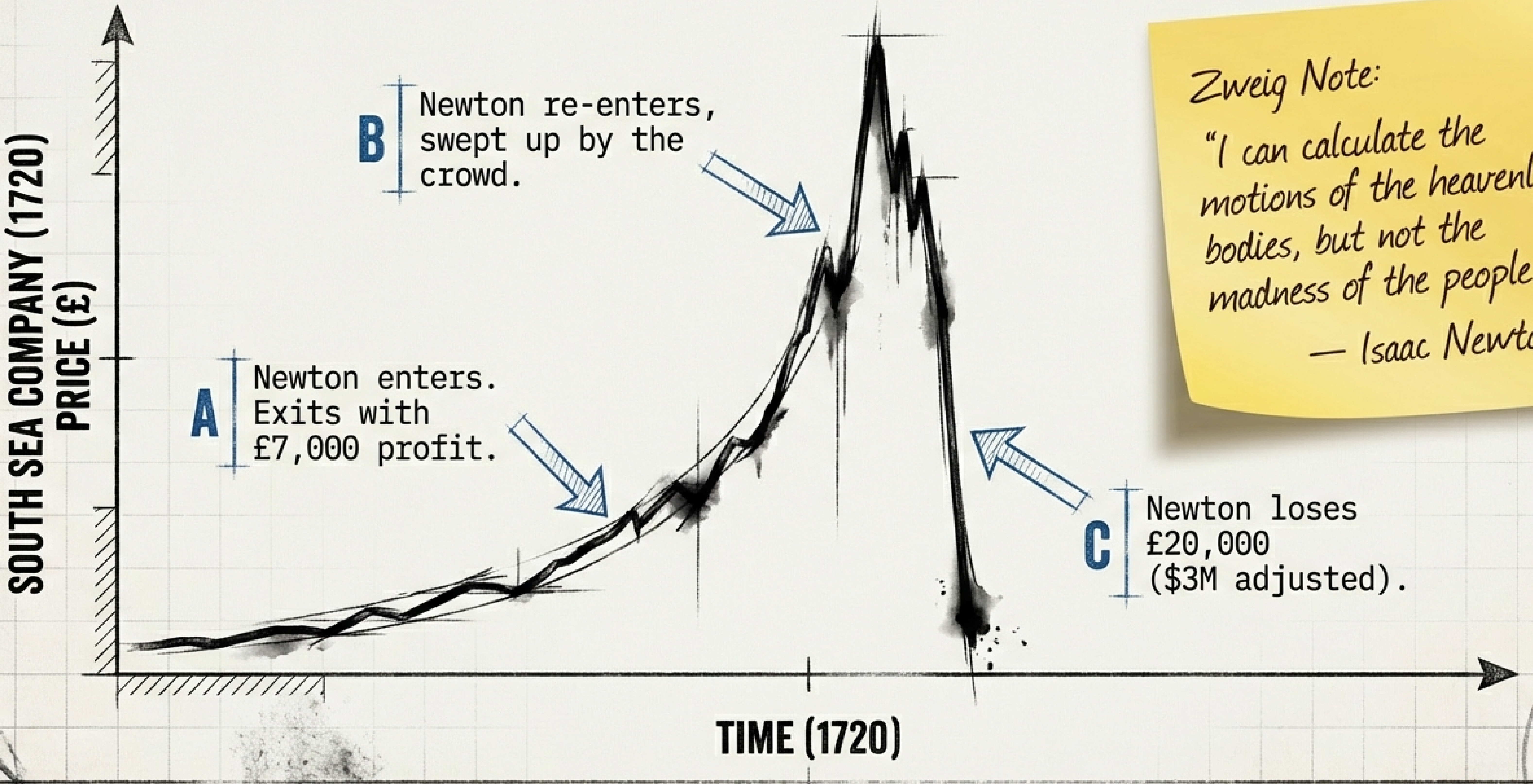
HIGH IQ

- High IQ ≠ Intelligent Investor
- Success requires harnessing emotions.
- Graham's Definition: Patience, discipline, and eagerness to learn.

DISCIPLINE

"The investor's chief problem—and even his worst enemy—is likely to be himself."

THE CAUTIONARY TALE: SIR ISAAC NEWTON



Zweig Note:

"I can calculate the motions of the heavenly bodies, but not the madness of the people."

— Isaac Newton

THE IRONCLAD DEFINITION

ADEQUATE RETURN

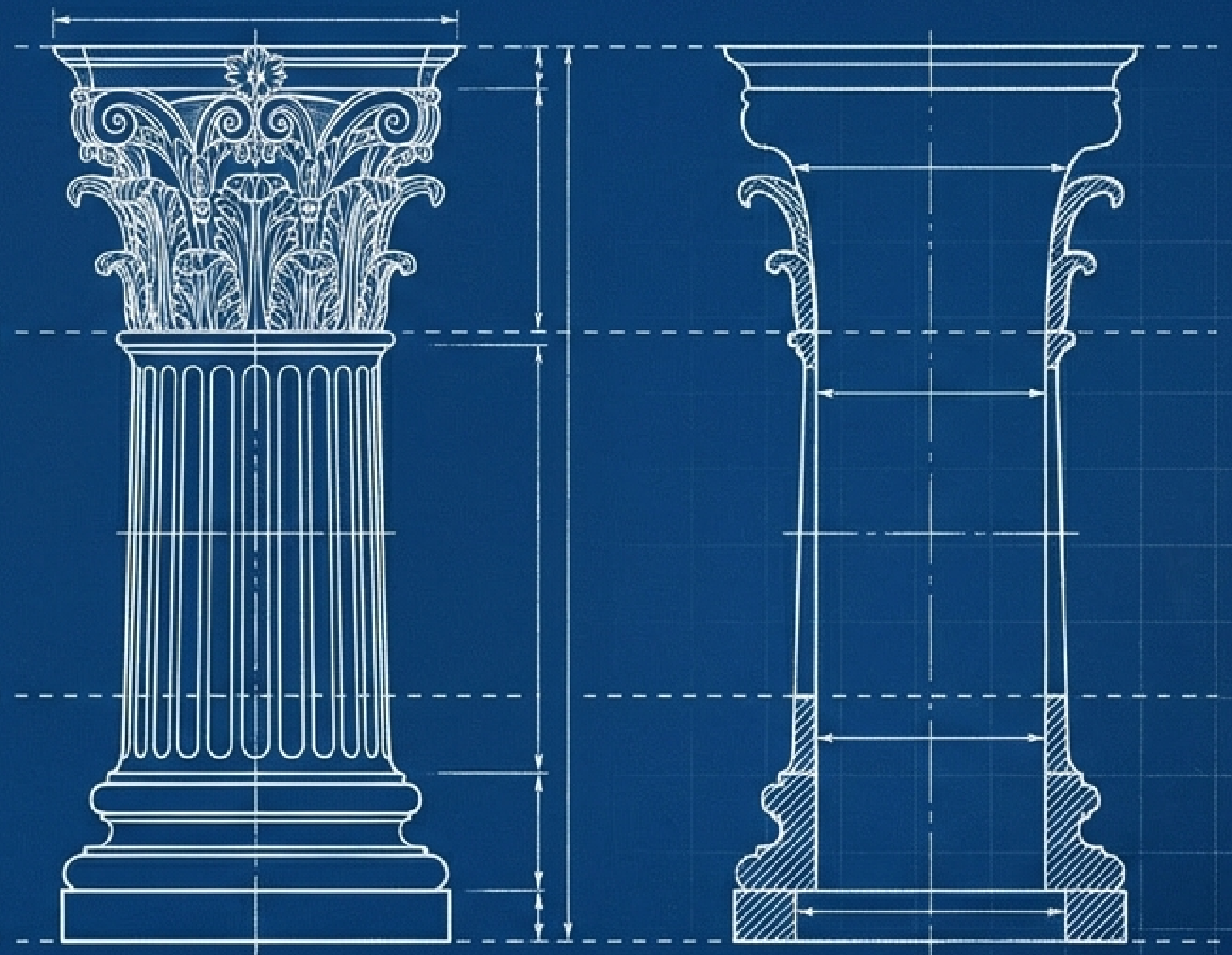
Acceptable rate of reward for the risk taken.

SAFETY OF PRINCIPAL

Protection against loss under normal conditions.

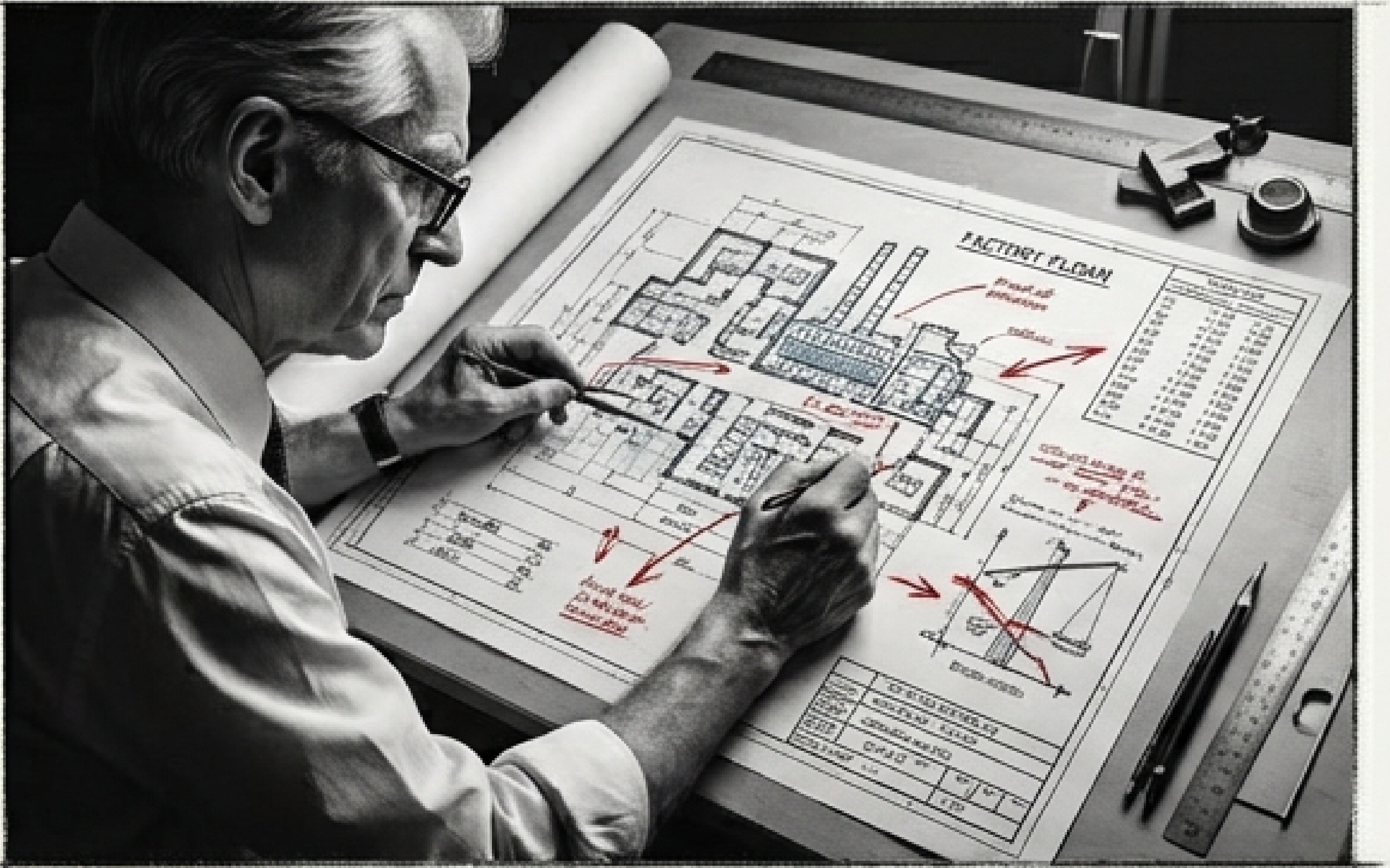
THOROUGH ANALYSIS

Study of facts in light of established standards.



Operations not meeting these requirements are SPECULATION.

INVESTMENT VS. SPECULATION.



THE INVESTOR judges market price by established standards of value.

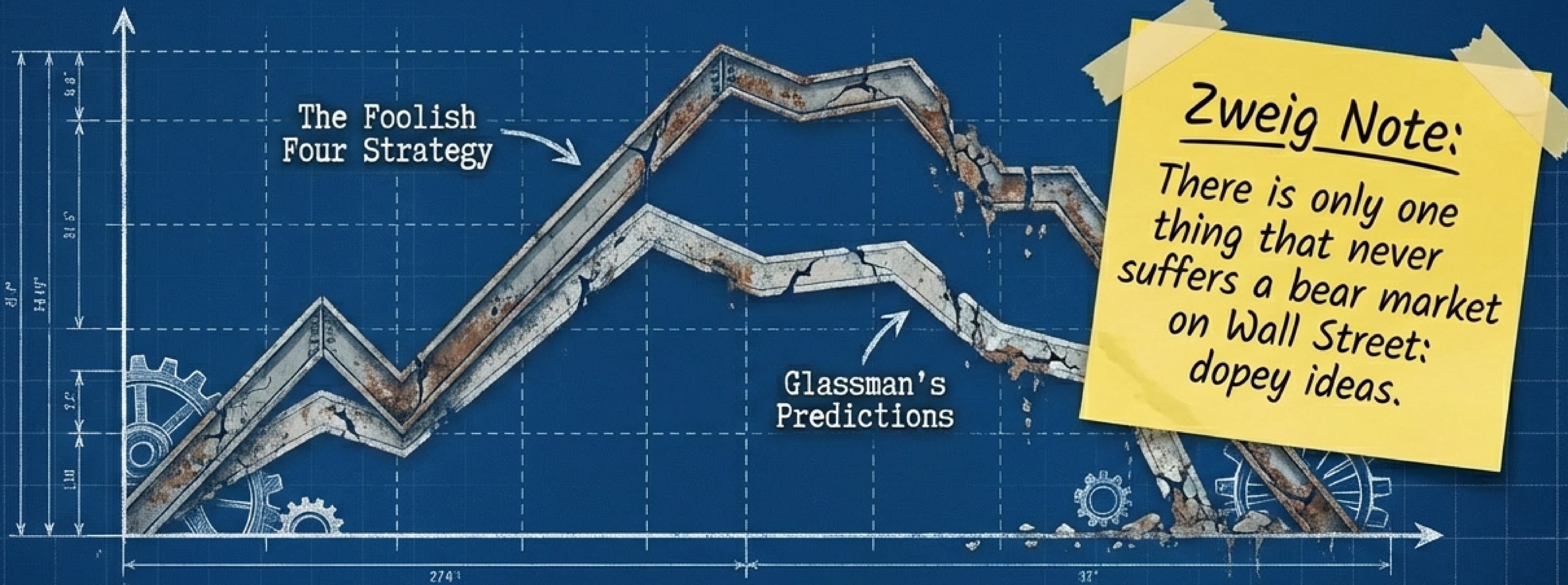
STANDARDS OF VALUE

THE SPECULATOR bases standards of value upon the market price.

MARKET PRICE

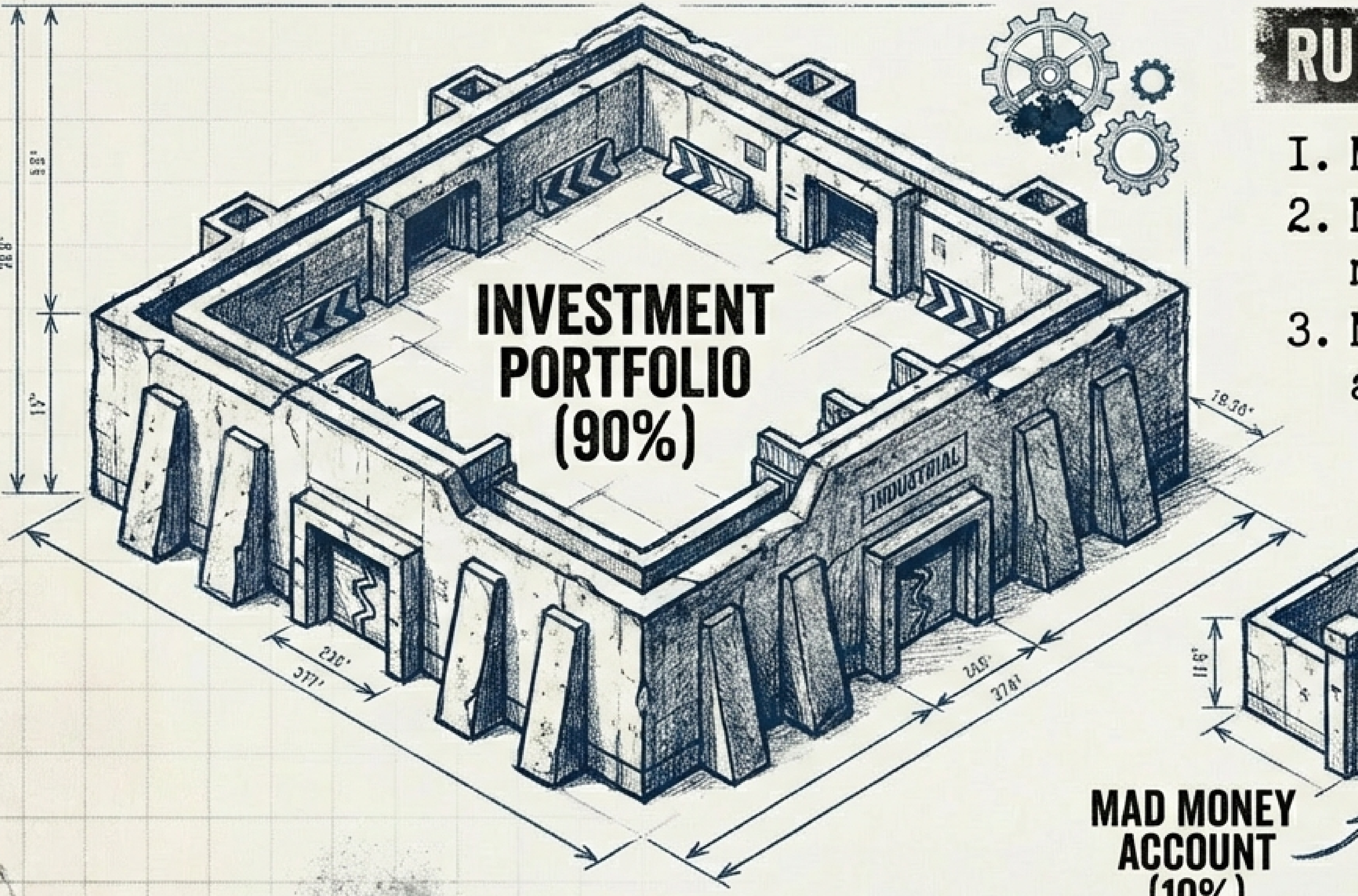
Speculation isn't illegal or immoral, but it is disastrous when you think you are investing.

THE GRAVEYARD OF 'SURE THINGS'



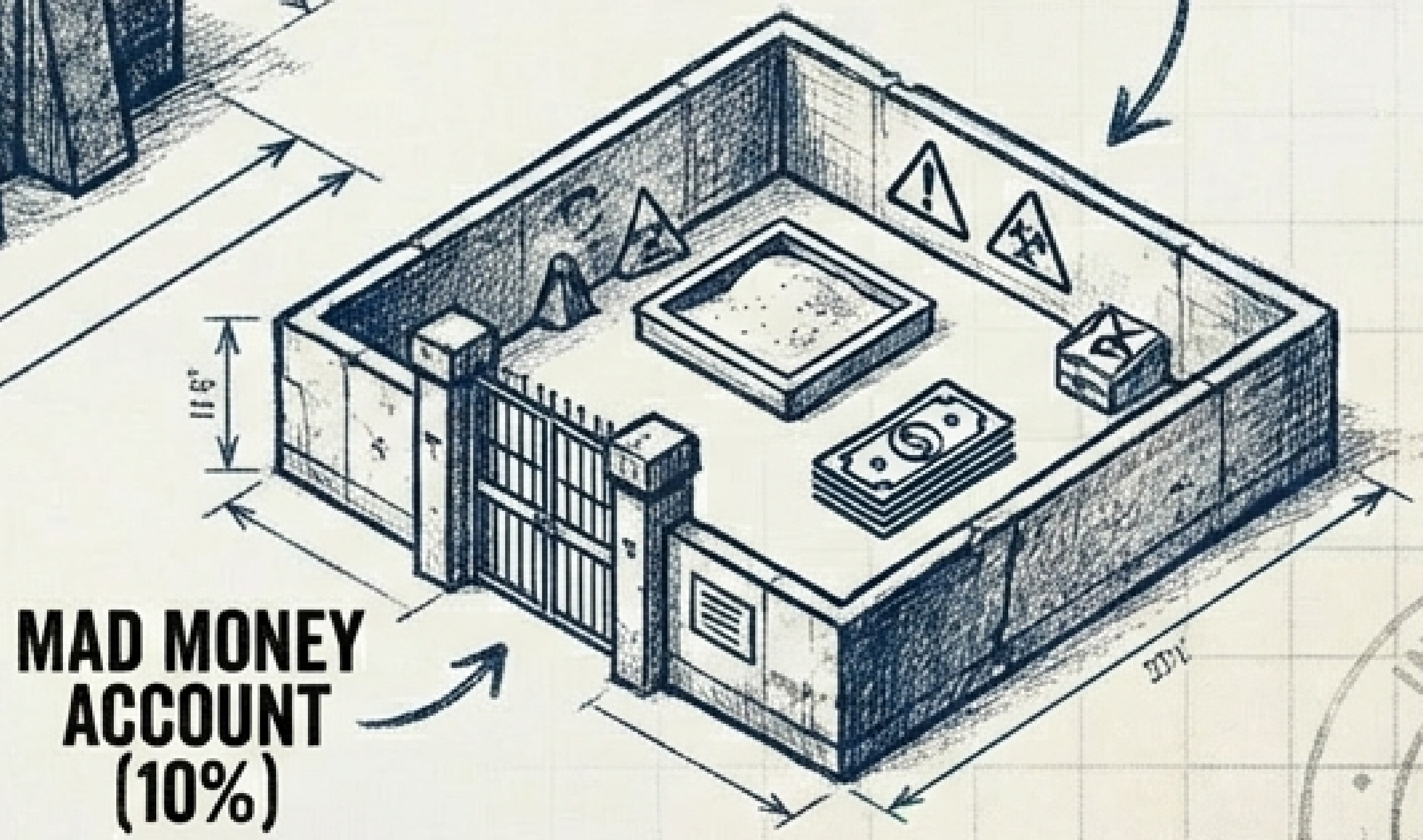
- The Trap: Looking for patterns in data where none exist.
- The Reality: "What worked" stops working once publicized.
- The Result: Systems erode as traders rush to exploit them.

THE SPECULATIVE SANDBOX

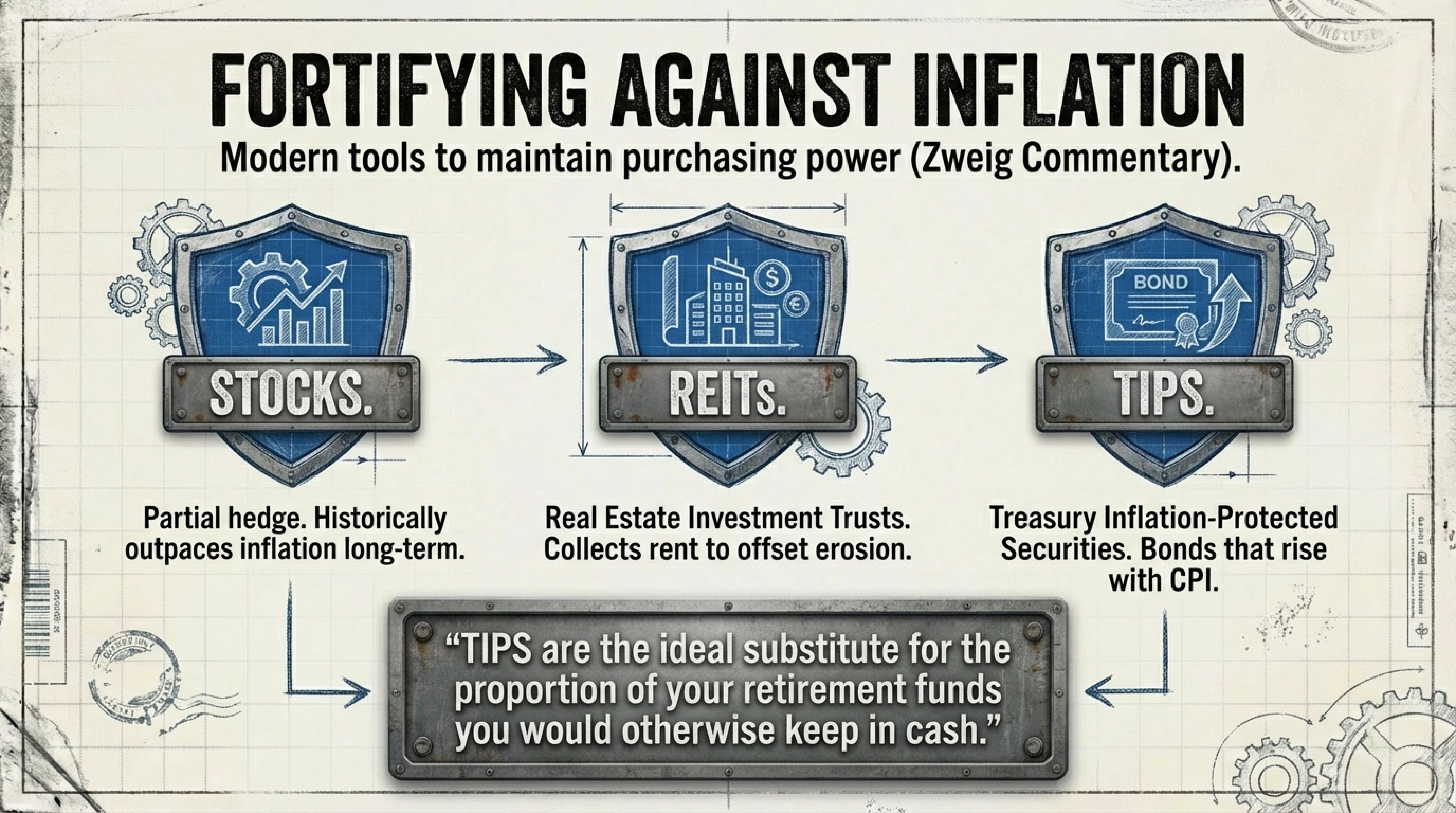


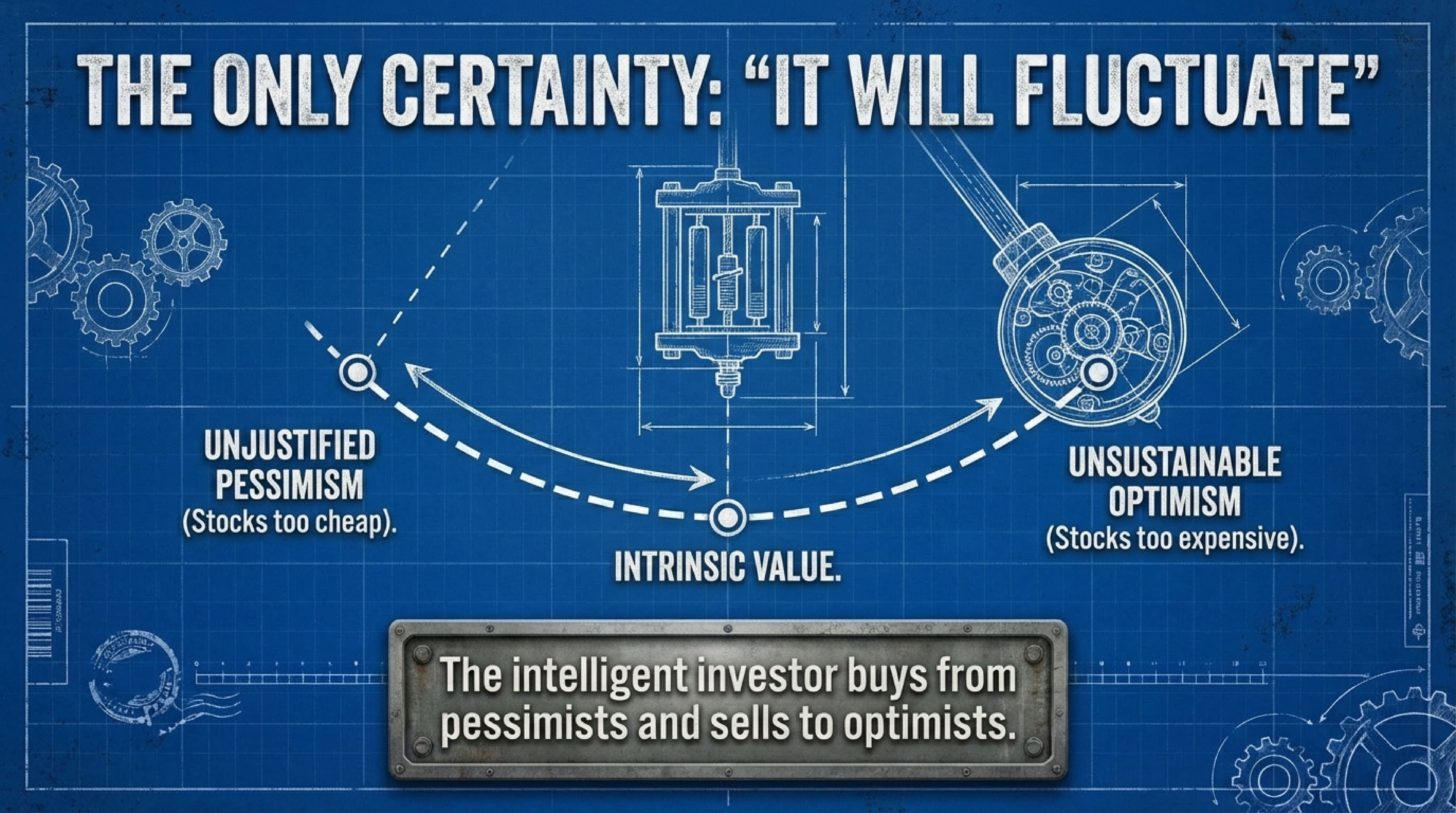
RULES OF ENGAGEMENT:

1. Max 10% of equity.
2. NEVER mingle speculative money with investment funds.
3. NEVER add money to chase a rising market.




THE PHANTOM LOSS: INFLATION
100%
TIME + INFLATION
INDUSTRIAL
SCENARIO A:
2% Raise.
4% Inflation.
Result: You feel richer, but are 2% poorer.
SCENARIO B:
2% Pay Cut.
0% Inflation.
Result: You feel poorer, but result is identical.
50%
PRESENT VALUE
100%
FUTURE VALUE
50%
NOMINAL RETURN
vs. REAL RETURN


FORTIFYING AGAINST INFLATION
Modern tools to maintain purchasing power (Zweig Commentary).
STOCKS.
Partial hedge. Historically outpaces inflation long-term.
REITs.
Real Estate Investment Trusts. Collects rent to offset erosion.
BOND
TIPS.
Treasury Inflation-Protected Securities. Bonds that rise with CPI.
"TIPS are the ideal substitute for the proportion of your retirement funds you would otherwise keep in cash."


THE ONLY CERTAINTY: "IT WILL FLUCTUATE"
UNJUSTIFIED PESSIMISM
(Stocks too cheap).
INTRINSIC VALUE.
UNSUSTAINABLE OPTIMISM
(Stocks too expensive).
The intelligent investor buys from pessimists and sells to optimists.

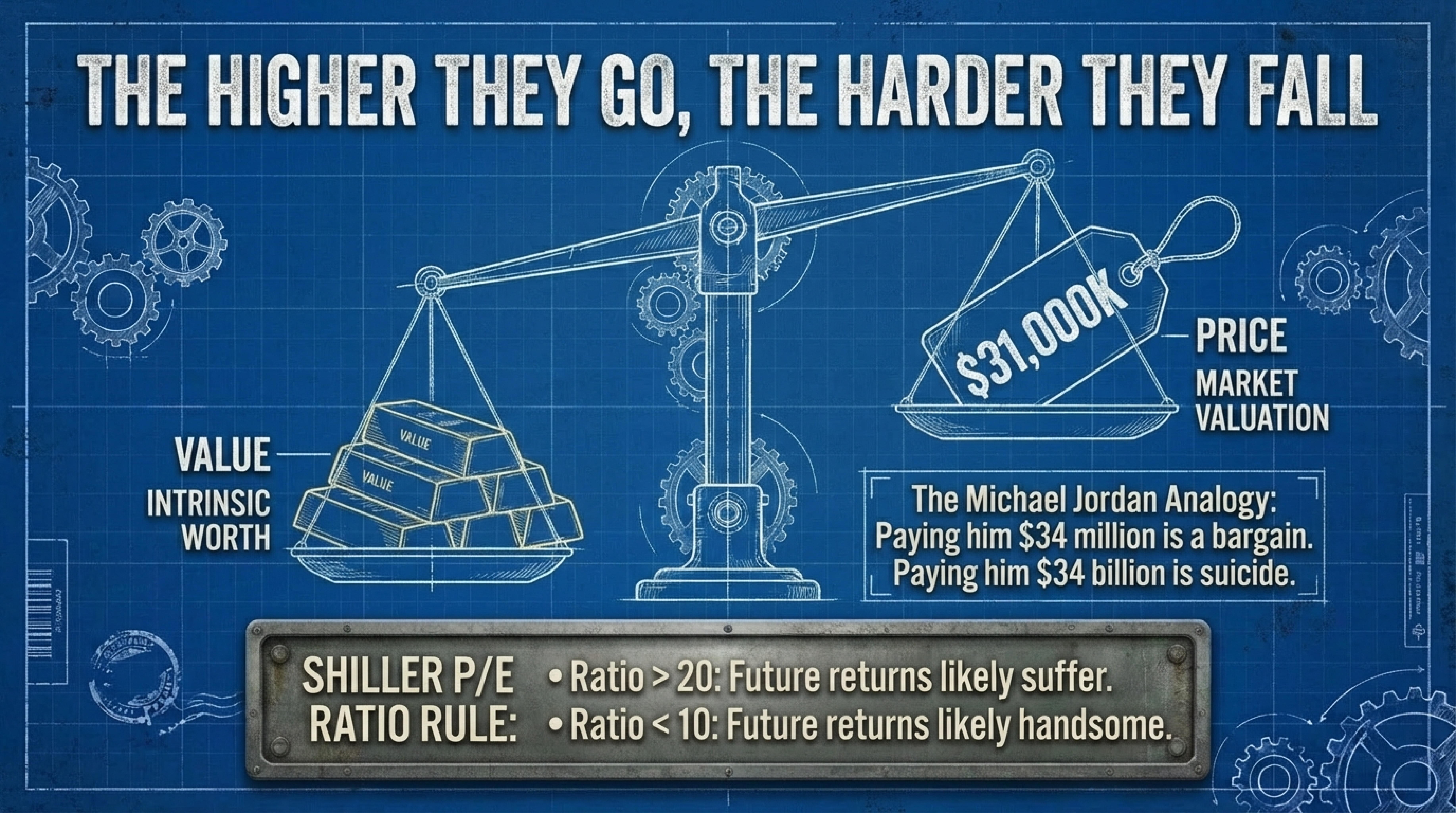
THE EXPERTS ARE USUALLY WRONG

"It's a new world order."
— Robert Froelich, 2000

VOID

"Is the stock market riskier today? The answer is no."
— Lehman Brothers, 2000

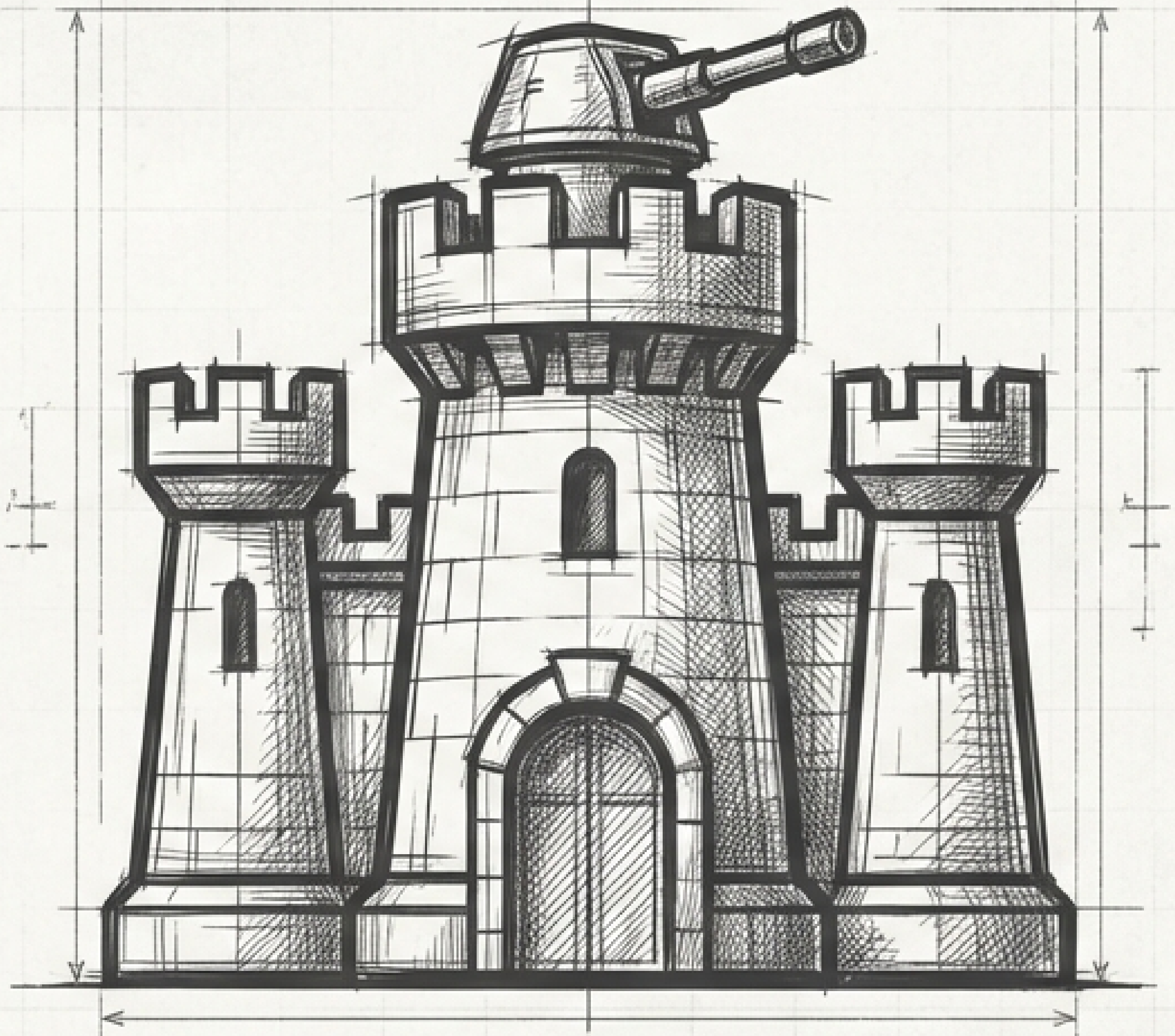
REALITY: By 2002, the market lost $7.4 trillion.
High past returns usually guarantee lower future returns.



THE HIGHER THEY GO, THE HARDER THEY FALL
$31,000K
PRICE
MARKET VALUATION
VALUE
VALUE
VALUE
INTRINSIC WORTH
The Michael Jordan Analogy:
Paying him $34 million is a bargain.
Paying him $34 billion is suicide.
SHILLER P/E RATIO RULE:
• Ratio > 20: Future returns likely suffer.
• Ratio < 10: Future returns likely handsome.

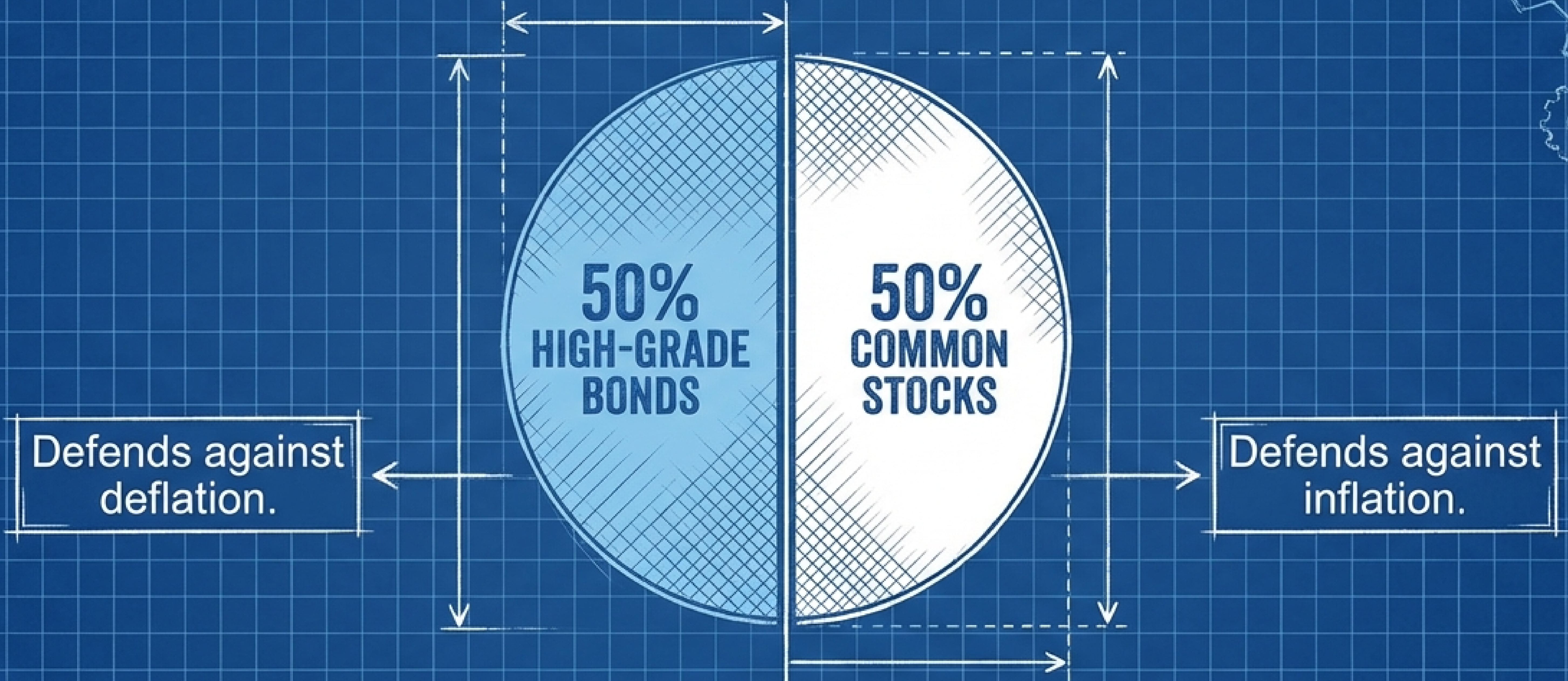
THE DEFENSIVE INVESTOR

- **GOAL: Safety + Freedom from Effort.**
- **STRATEGY: Simple portfolio, “Autopilot” decisions.**



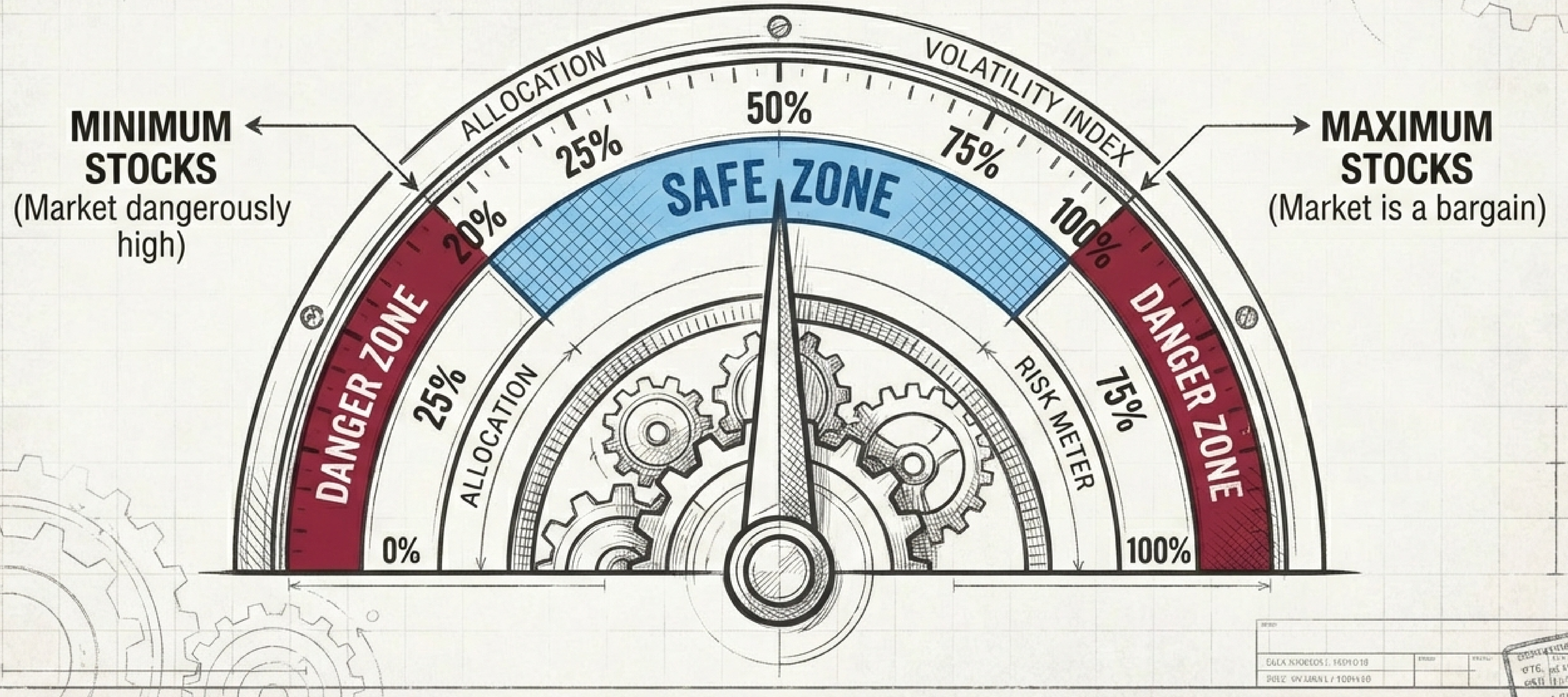
- **EXPECTATION: Adequate, not spectacular, results.**
- **CONTRAST: Distinct from the “Enterprising Investor” who treats this as a business.**

THE ALLOCATION BLUEPRINT



Psychology: Prevents full exposure to a crash, while keeping you involved in a rally.

THE SLIDING SCALE



RISK CAPACITY ≠ AGE

Zweig Commentary: Circumstances matter more than birth years.

THE ~~MYTH~~.	THE REALITY. ✓
Subtract your age from 100 to determine stock allocation.	Allocation depends on financial need and stability.

- 89-Year-Old (Pension + Wealth) = High Risk Capacity.
- 25-Year-Old (Saving for Wedding) = Low Risk Capacity.

THE SECRET WEAPON: REBALANCING

DOLLAR-COST AVERAGING

Formula investing removes emotion.
You end up with a satisfactory average price, preventing the error of buying only at the top.

THE TRUE MEANING OF RISK

WALL STREET DEFINITION:

Risk = Volatility (Price fluctuation).

GRAHAM DEFINITION:

Risk = Permanent Loss of Capital.

The investor who permits himself to be stampeded by unjustified market declines is transforming his basic advantage into a basic disadvantage.

WARNING:
CAPITAL AT RISK

THE INTELLIGENT INVESTOR'S CREED

KNOW THE BUSINESS.

Stocks are pieces of a business, not ticker symbols.

KNOW THE BOSS.

You manage your money. Do not let the market dictate your mood.

KNOW THE MARGIN OF SAFETY.

Never overpay.

To invest successfully over a lifetime does not require a stratospheric IQ...
What's needed is a sound intellectual framework.